Lead Broker Blueprint

by Lorenzo Marietti

Module 3

The Regulatory Landscape

This module needs the most maintenance

Regulations governing lead brokering change frequently. This module is current as of **May 2026** and will be re-researched on a quarterly cadence.

Every regulatory claim in this module is dated. Every claim links to a primary source at the end of the lesson. Where a rule is in flux, the lesson notes the status of the underlying case or rulemaking.

The course is a research-based primer, **not legal advice for your situation**. The rules apply differently across states and verticals; consult counsel licensed in your jurisdiction for vertical- or jurisdiction-specific questions.

What you will be able to do after this module

1. Identify which federal regulatory regimes apply to which steps of a lead generation, brokering, or pay-per-call operation.
2. State the current TCPA Prior Express Written Consent standard and explain how it changed between December 2023 and September 2025.
3. Operationalize the April 2025 consent-revocation rule — including the 10-business-day window and the confirmation-text safe harbor.
4. Recognize when the FTC's Reviews & Testimonials Rule (effective October 21, 2024) is engaged, and avoid the seven specific practices it prohibits.
5. Map vertical-specific rules to your chosen vertical — ABA Model Rules 5.4/7.2/7.3 for legal, NMLS / RESPA Section 8 for mortgage, HIPAA for healthcare, EKRA for addiction treatment, state insurance licensing.
6. Work through the multi-page compliance checklist delivered with this module before launching.

Version 1.0 • Drafted May 2026

Module 3 overview

Lead brokering operates inside a patchwork of federal and state regulation. No single statute governs the industry; instead, a dozen overlapping regimes — TCPA, the FTC's endorsement and reviews rules, the Telemarketing Sales Rule, CAN-SPAM, FCRA, state privacy laws, ABA Model Rules, state insurance licensing, NMLS, RESPA, HIPAA, EKRA — each touch a different step of the operation. Compliance is the discipline of mapping each step of your stack to the regimes that govern it.

The module covers each regime in turn, then closes with a multi-page compliance checklist you can work through before launch. Twelve substantive lessons plus the checklist:

- 3.1 TCPA basics.
- 3.2 The one-to-one consent saga — and what it teaches.
- 3.3 Revocation of consent (the April 2025 rule that survived).
- 3.4 TCPA enforcement and damages.
- 3.5 National Do Not Call Registry.
- 3.6 FTC Endorsement Guides (revised June 2023).
- 3.7 FTC Rule on Consumer Reviews and Testimonials (effective October 21, 2024).
- 3.8 Telemarketing Sales Rule (TSR).
- 3.9 CAN-SPAM.
- 3.10 FCRA touchpoints.
- 3.11 State privacy laws (CCPA/CPRA and the 18+ state laws that have followed).
- 3.12 Vertical-specific regulation (ABA, NMLS, state insurance, HIPAA, RESPA, EKRA, PI licensing).
- 3.13 Putting it together: the compliance checklist.

Three deliverables ship with the module: the compliance checklist (PDF, multi-page), the regulatory citation reference sheet (PDF), and the acronym glossary (PDF).

Lesson 3.1 — TCPA basics

> **Learning objective**
> State what the TCPA actually requires (versus how it's often misread), define Prior Express Written Consent (PEWC), and identify the four elements that make a PEWC record valid.

The statute, in one paragraph

The Telephone Consumer Protection Act of 1991 (TCPA), codified at 47 U.S.C. § 227, restricts certain telephone and (by FCC rulemaking) text-message marketing practices. The two operational provisions you'll spend most of your time on: a restriction on calls or texts to mobile numbers using an automatic telephone dialing system (ATDS) or an artificial or prerecorded voice without the called party's prior express consent; and a restriction on prerecorded calls to residential numbers without consent for marketing purposes. Statutory damages run $500 per violation, trebled to $1,500 for willful or knowing violations. The TCPA provides a private right of action — meaning the plaintiffs' bar enforces it as much as the FCC does.

Statute	47 U.S.C. § 227
Agency	Federal Communications Commission (FCC) — rulemaking; courts and FCC enforce.
Private suit	Yes (with statutory damages); class actions are common.
Damages	$500 per violation; up to $1,500 if willful or knowing.

Prior Express Written Consent (PEWC), specifically

For marketing calls or texts to mobile numbers using an autodialer or prerecorded voice, the TCPA requires Prior Express Written Consent. The FCC's implementing rule (47 C.F.R. § 64.1200(f)(9)) sets four elements that make a written consent valid:

1. Clear and conspicuous disclosure. The consent language must be clear and conspicuous on the form or document the consumer signs.
2. Authorization for autodialed or prerecorded marketing. The disclosure must explicitly state that the consumer authorizes the seller to deliver advertisements or telemarketing messages using an automatic telephone dialing system or an artificial or prerecorded voice.
3. Not required as a condition of purchase. The disclosure must clearly state that the consumer's consent is not a condition of any purchase.
4. Consumer's signature. The consent must include the consumer's signature, either physical or E-SIGN-compliant electronic signature.

Each element matters. A consent record missing any of the four is, in plaintiff-bar parlance, "defective."

What the TCPA does not require

Two common misreadings:

- PEWC is required for autodialed or prerecorded marketing calls/texts to mobile numbers — not for every call or text. A live agent making a non-prerecorded call to a mobile number does not, by the TCPA's terms, require PEWC for that call (though other rules, including DNC scrubbing, still apply).
- Informational, non-marketing messages have a different (less strict) consent standard — "prior express consent," which can be oral or implied from the consumer's provision of the number for the relevant purpose. Marketing is the higher bar.

Why operators care about this so much

What operators say works: *in trade conversations and conference sessions, operators consistently note that PEWC is the most-litigated provision of the TCPA against the lead generation industry. The plaintiffs' bar can identify defective consent records in discovery and turn a single bad form into a six- or seven-figure class settlement. Every operator-facing piece of compliance infrastructure — TrustedForm, Jornaya, consent-record retention, contract-level reps and warranties — is built around making PEWC defensible.*

As of May 2026 the PEWC standard reverts to its pre-2023 form. The FCC's December 2023 attempt to tighten the standard via the one-to-one consent rule was vacated by the Eleventh Circuit in January 2025 and formally abandoned by the FCC in September 2025. Lesson 3.2 covers that saga in detail.

On-camera summary

The TCPA's two operational provisions are autodialer/prerecorded restrictions on mobile and residential lines. PEWC has four elements — clear and conspicuous disclosure, autodialer/prerecorded authorization, not-a-condition-of-purchase, and signature. Damages run $500–$1,500 per violation; class actions enforce the statute as much as the FCC does. Every piece of compliance infrastructure in this industry is built around making PEWC defensible.

Primary sources

- Telephone Consumer Protection Act, 47 U.S.C. § 227.
- FCC rules, 47 C.F.R. § 64.1200 (especially § 64.1200(f)(9) — PEWC definition).
- Facebook, Inc. v. Duguid, 592 U.S. 395 (2021) — Supreme Court ATDS-definition opinion.
- Mims v. Arrow Financial Services, 565 U.S. 368 (2012).

Lesson 3.2 — The one-to-one consent saga (and what it teaches)

> **Learning objective**
> Narrate the FCC one-to-one consent rule arc — December 2023 adoption, January 2025 vacatur by the 11th Circuit, September 2025 FCC abandonment — and articulate why most sophisticated buyers still demand one-to-one consent contractually.

Timeline

Date	Event
December 13, 2023	FCC adopts "one-to-one consent" rule amending PEWC to require that consent name a single seller (CG Docket No. 02-278).
February 15, 2024	Insurance Marketing Coalition (IMC) and other industry petitioners file for review in the 11th Circuit.
January 24, 2025	11th Circuit issues opinion in IMC v. FCC vacating the one-to-one provisions on statutory-authority grounds. Three days before the rule's effective date.
January 27, 2025	The originally scheduled effective date passes; rule is no longer in force.
September 2025	FCC formally announces it will not pursue the rule on remand.
May 2026 (now)	PEWC reverts to the pre-2023 standard. Multi-seller "participating providers" consent disclosures are again valid as a regulatory matter. Many buyers nevertheless demand one-to-one consent contractually.

What the rule would have required

Three substantive changes the rule would have introduced to PEWC:

- Single seller per consent. A given consent agreement could authorize calls or texts from one named seller only. Multi-seller "participating providers" framings — the comparison-shopping consent model that has been the backbone of insurance lead generation since the 2000s — would no longer satisfy PEWC.
- Logical and topical relation. The marketing for which consent was obtained had to be "logically and topically related" to the website on which the consent was captured (a constraint on bundled or co-registration consent flows).
- Effective date January 27, 2025.

Why the 11th Circuit vacated it

What the court said: in Insurance Marketing Coalition v. FCC, No. 24-10277 (11th Cir. Jan. 24, 2025), the court held that the FCC had exceeded its statutory authority under the TCPA. The underlying statute requires that consent be "clear and conspicuous" and that the consumer authorize calls or texts using an autodialer or prerecorded voice. But Congress did not authorize the FCC to add the requirement that consent be limited to a single named seller. The court vacated the one-to-one provisions while leaving the rest of the FCC's PEWC framework intact.

The state of the world today

As of May 2026, PEWC operates under the pre-December-2023 standard. Multi-seller comparison-shopping consent — "by submitting this form, I consent to be contacted by [seller] and its participating providers" — is again valid as a regulatory matter, provided the four core PEWC elements are met (clear and conspicuous, autodialer/prerecorded authorization, not-a-condition-of-purchase, signature).

What operators say works: *and yet — almost every sophisticated buyer continues to demand one-to-one consent contractually. The reason is defensive. The plaintiffs' bar has spent two years building TCPA class-action theories around multi-seller consent records, and many buyers prefer to underwrite the higher one-to-one consent standard than to risk litigation under attack theories the courts have not yet finally rejected. The rule died as a regulatory requirement; it survives, in significant form, as a contractual one.*

What the saga teaches

5. Regulatory volatility is intrinsic. A rule can be adopted, scheduled, and vacated inside fourteen months. Operators who reorganized their entire consent infrastructure for the one-to-one rule between December 2023 and January 2025 then had to reorganize it back.
6. Buyer contracts can outlast regulations. Even when a rule is vacated, the contractual standards it inspired can survive. Build for the higher of the regulatory and contractual standards in your target verticals.
7. Standing matters. The 11th Circuit's decision turned on statutory-authority grounds (an APA challenge), not on policy. Similar future rules from the FCC are not foreclosed; they would simply need clearer statutory grounding.

On-camera summary

The FCC's one-to-one consent rule was adopted in December 2023, vacated by the 11th Circuit on January 24, 2025 — three days before its effective date — and formally abandoned by the FCC in September 2025. As of May 2026 PEWC reverts to its pre-2023 standard. Multi-seller comparison-shopping consent is once again valid as a regulatory matter, but most sophisticated buyers continue to demand one-to-one consent contractually as a litigation-defense posture.

Primary sources

- Insurance Marketing Coalition v. FCC, No. 24-10277 (11th Cir. Jan. 24, 2025).
- FCC, "Strengthening the TCPA" Final Rule, CG Docket No. 02-278 (Dec. 13, 2023).
- FCC announcement (September 2025) confirming the agency will not pursue the rule on remand.

Lesson 3.3 — Revocation of consent (the April 2025 rule that survived)

Learning objective

Operationalize the FCC's April 11, 2025 revocation rule: the "any reasonable means" standard, the 10-business-day window, the one-time confirmation-text safe harbor, and the scope-of-revocation rules.

Rule	FCC Revocation Rule (amendments to 47 C.F.R. § 64.1200)
Adopted	February 2024 (part of the same docket as one-to-one)
Effective	April 11, 2025
Status	In force as of May 2026 — survived the IMC v. FCC challenge that vacated one-to-one.

The four operational rules

1. Revocation through any reasonable means

Consumers may revoke consent through "any reasonable means." A reply text of STOP, END, QUIT, UNSUBSCRIBE, CANCEL, or any reasonable variant; a verbal request during a live call; an email to a published address; a written letter — all are valid. A seller cannot designate an exclusive method (e.g., "revocation only through our online portal") that excludes other reasonable means.

2. The 10-business-day window

Once revocation is received, the seller (and any party making calls or sending texts on the seller's behalf) must honor the revocation within 10 business days. After that window, any continued marketing call or text to the consumer is a violation, regardless of how internal systems handled the revocation.

3. The confirmation-text safe harbor

A seller may send a single confirmation text within 5 minutes of receiving a revocation, provided the confirmation contains no marketing content. The confirmation is permitted to acknowledge the revocation and to ask, in limited form, whether the consumer intended to revoke for all categories of marketing or only a specific category.

4. Scope of revocation

Revocation applies to all future marketing calls and texts from the seller and any party calling or texting on the seller's behalf. The revocation is not limited to the channel through which it was made — a STOP text revokes both texts and calls, not just texts. Sellers cannot interpret revocation narrowly.

Implications for operations

What regulations require — in operational terms: every operator that places marketing calls or sends marketing texts needs (a) a consumer-facing channel to receive revocation requests through any reasonable means; (b) an internal process that propagates the revocation to all downstream systems and parties within 10 business days; (c) a controlled confirmation-text template that contains no marketing content; and (d) audit-trail evidence sufficient to demonstrate timely compliance in litigation discovery.

What operators say works: *operators describe building revocation into the lead distribution platform itself. When a downstream buyer reports a revocation to the lead provider, the platform writes the revocation back to the source of the lead (the generator) and to every other buyer who received the lead. This is one of the major value propositions of LeadConduit and equivalents: the platform-level revocation handoff is faster and more auditable than email-and-spreadsheet processes.*

On-camera summary

The FCC's April 11, 2025 revocation rule is in force. Consumers can revoke through any reasonable means; sellers must honor within 10 business days; a single non-marketing confirmation text within 5 minutes is allowed; and the revocation applies to all future marketing calls and texts, not just the channel through which it was made. Every operator needs a propagation process across all parties in their distribution chain.

Primary sources

- FCC Final Rule, CG Docket No. 02-278 (revocation provisions, effective April 11, 2025).
- FCC, "Strengthening the Ability of Consumers to Stop Robocalls," public notice and consumer guide.

Lesson 3.4 — TCPA enforcement and damages

> **Learning objective**
> Explain why TCPA exposure is meaningful even for a small operator, identify how class-action math creates seven-figure exposure from individually small violations, and describe what TrustedForm and Jornaya actually do to mitigate that risk.

How damages work

Statutory damages under the TCPA run $500 per violation, trebled to $1,500 for willful or knowing violations. A "violation" is a single call or text in violation of the statute. Damages stack across calls and texts — a campaign that sends five non-compliant marketing texts to one consumer is, on its face, five violations.

Three facts the math should make obvious:

8. Class actions amplify exposure dramatically. A campaign that sent one non-compliant marketing text to 10,000 consumers is potentially $5 million in baseline statutory damages. The actual settlement value depends on certification, defenses, and consent-record quality, but the underwriting math starts with that base.
9. Small operators face proportional risk. The TCPA does not have a small-business carve-out; a one-person operation that sends 1,000 non-compliant marketing texts faces $500,000 of statutory exposure in principle.
10. Litigation is plaintiff-driven. The TCPA's private right of action and statutory damages have produced a substantial plaintiffs' bar specializing in TCPA class actions. A defective consent record can be identified in discovery and used to support certification.

What buyers actually require contractually

Sophisticated lead buyers typically require some or all of the following in their lead purchase agreements:

- Reps and warranties that every delivered lead has a valid PEWC-compliant consent record.
- Delivery of a certified consent record (TrustedForm certificate URL or Jornaya equivalent) with every lead.
- Indemnification for TCPA claims arising from the lead provider's consent-record defects.
- Audit rights — the buyer can sample consent records and require the lead provider to produce the underlying form, disclosure, and consent metadata.
- Specific representations about traffic sources — e.g., "no leads sourced from co-registration paths," "no leads sourced from text-based opt-ins," or other source-specific carve-outs.

What TrustedForm and Jornaya do (and don't do)

What they do: produce a tamper-evident certificate URL that records the consumer's session at the moment of form submission — the disclosure language they saw, the page they saw it on, mouse and keystroke metadata, the named parties whose calls and texts they authorized, and time stamps. The certificate is intended as evidence in a TCPA suit that consent was captured cleanly.

What they don't do: make a defective consent disclosure into a valid one. If the underlying form's disclosure language was unclear, the parties were not properly named, or the consumer was directed to a misleading interstitial, the certificate documents that fact rather than curing it. Operators sometimes treat a TrustedForm URL as a checkbox; sophisticated counsel treats it as evidence whose value depends on the design of the disclosure itself.

On-camera summary

TCPA damages are $500–$1,500 per violation, stacked across calls and texts and amplified by class actions. Buyers contractually require certified consent records, indemnification, and audit rights. TrustedForm and Jornaya are evidence vendors — they document consent at the moment of capture, but they don't repair defective disclosures. Build your consent flow as if you'll have to defend it in deposition, because eventually you may.

Primary sources

- 47 U.S.C. § 227(b)(3) — private right of action and statutory damages.
- 47 C.F.R. § 64.1200(f)(9) — PEWC definition.
- Public TCPA settlement data — Westlaw's TCPA database and the firm-published TCPA blogs (Squire Patton Boggs, Eversheds Sutherland, Klein Moynihan Turco).
- ActiveProspect/TrustedForm and Jornaya public product documentation.

Lesson 3.5 — National Do Not Call Registry

> **Learning objective**
> State what the DNC Registry covers, what the scrubbing obligation is, what exemptions exist, and how text messages fit into the regime.

Registry	National Do Not Call Registry (administered by the FTC and FCC under TSR and TCPA)
Statute / rule	15 U.S.C. § 6101 et seq.; 16 C.F.R. § 310 (TSR); 47 C.F.R. § 64.1200(c) (TCPA)
Scope	All residential numbers on the Registry; coverage extended to text messages by FCC rulemaking.

What's required

- Telemarketers must scrub their calling lists against the DNC Registry within the timing windows the regulators require (currently no more than 31 days before any call).
- Calls to residential numbers on the Registry are prohibited unless an applicable exemption applies (existing business relationship, prior express written consent, charitable solicitation, certain political and survey calls).
- The TCPA's DNC-related provisions apply to text messages as well as calls — the FCC clarified this point in 2023 rulemaking. STOP responses must be honored as both a consent revocation and a DNC registration of the consumer's preference.

Where operators most often slip

Three patterns operators publicly describe as the most common DNC failures:

11. Scrubbing only the top-of-funnel data. The Registry should be scrubbed before any contact, including reactivation outreach, win-back campaigns, and any contact based on a lead older than the initial consent window.
12. Treating consent as a permanent override. PEWC overrides DNC only while it's valid; once revoked, DNC takes over and the consumer is back on the protected list.
13. Inadequate cross-channel propagation. A consumer who registered on the DNC for calls is generally also protected from texts; an operator who treats voice and text DNC lists separately is exposed.

On-camera summary

The DNC Registry covers residential numbers and (via FCC clarification) text messages. Scrub within the regulators' timing window before any contact, treat STOP both as revocation and as a DNC signal, and

re-scrub before reactivation. Consent overrides DNC only while consent is valid; revocation restores DNC protection.

Primary sources

- Telemarketing and Consumer Fraud and Abuse Prevention Act, 15 U.S.C. § 6101 et seq.
- FTC Telemarketing Sales Rule, 16 C.F.R. § 310.
- FCC TCPA rules, 47 C.F.R. § 64.1200(c).
- FCC, "Targeting and Eliminating Unlawful Text Messages" docket and orders (2023).

Lesson 3.6 — FTC Endorsement Guides (revised June 2023)

Learning objective

Recognize what counts as an endorsement, when material-connection disclosure is required, why "results not typical" boilerplate no longer suffices, and how the Guides apply to AI-generated and intermediary content.

Citation	16 C.F.R. Part 255 — "Guides Concerning the Use of Endorsements and Testimonials in Advertising"
Last revised	June 29, 2023
Status	Interpretive guides; FTC pursues violations under Section 5 of the FTC Act.

What the Guides actually cover

The Endorsement Guides interpret Section 5 of the FTC Act to address when an advertising message must be backed by adequate substantiation, when a material connection between advertiser and endorser must be disclosed, and when third-party content (reviews, testimonials, influencer posts, AI-generated content) becomes the advertiser's responsibility.

The big changes from the June 2023 revision

1. "Results not typical" boilerplate is not enough

If an endorsement implies a specific result is typical when it's not, the advertiser must clearly and conspicuously disclose the generally expected performance. The old practice of running impressive testimonials with a small-type "results not typical" disclaimer no longer satisfies the Guides — substantive context about typical outcomes is required.

2. AI-generated content is in scope

The 2023 revision explicitly addresses AI-generated and other fabricated content. Endorsements must reflect the honest opinions, beliefs, or experience of an actual endorser; AI-generated "endorsements" presented as real are deceptive. The course's own commitment to no AI-generated reviews is a direct response to this rule.

3. Intermediaries can be liable

Lead generators and other intermediaries in the marketing chain can be liable for endorsement and testimonial violations on the pages they operate or content they post, not just the end advertiser. This is the most significant practical change for lead generation specifically — the operator of a comparison-quote landing page that uses endorsement-style content is responsible for the substantiation behind that content.

4. Material connection disclosure

Any "material connection" between an advertiser and an endorser must be clearly and conspicuously disclosed when the endorsement is communicated to the public. Material connections include payments, free products, employment relationships, family ties, or any other relationship that could affect the weight a reasonable consumer would give the endorsement.

On-camera summary

The June 2023 revision tightened the Endorsement Guides in four ways that matter to lead generators: results-not-typical boilerplate isn't enough; AI-generated endorsements are explicitly prohibited; intermediaries (lead generators, affiliates) can be on the hook for non-compliant content on their pages; and material-connection disclosure must be clear and conspicuous. The Guides are interpretive, but FTC enforcement under Section 5 has teeth.

Primary sources

- 16 C.F.R. Part 255 — Guides Concerning the Use of Endorsements and Testimonials in Advertising.
- FTC press release, June 29, 2023 — "FTC Proposes New Rule to Combat Fake Reviews and Testimonials" and "FTC Approves Final Revisions to Endorsement Guides."
- FTC Act § 5 (15 U.S.C. § 45) — underlying unfair-or-deceptive-acts authority.

Lesson 3.7 — FTC Rule on Consumer Reviews and Testimonials

Learning objective

Identify the seven specific practices the rule prohibits, recall the civil-penalty exposure, and apply the rule to the content and marketing infrastructure typical of a lead generation operation.

Citation	16 C.F.R. Part 465 — Trade Regulation Rule on the Use of Consumer Reviews and Testimonials
Effective	October 21, 2024
Civil penalty	Up to ~$51,744 per violation (inflation-adjusted annually under 16 C.F.R. § 1.98)
Status	In force as of May 2026.

What the rule prohibits

Seven specific practices, each its own basis for civil-penalty liability:

14. Fake or fabricated reviews. This explicitly includes AI-generated reviews, reviews written by people who did not have the experience described, and reviews materially misrepresenting the reviewer's experience.
15. Buying or selling reviews. Both positive and negative. Compensation includes anything of value, not just cash.
16. Insider reviews without disclosure. Officers, employees, agents, and immediate family members of the business who post reviews without clearly disclosing the material connection.
17. Review suppression. Threatening, intimidating, or unfounded legal action to prevent or remove honest negative reviews.
18. Misrepresenting that company-controlled review websites are independent. An advertiser cannot operate a "review site" that purports to be independent if the advertiser controls the content.
19. Fake social-media indicators. Buying or selling fake followers, likes, views, or other engagement metrics that misrepresent the advertiser's social media influence.
20. Misuse of legitimate reviews. Material misrepresentations about, or selective use of, otherwise legitimate reviews in a way that creates a false impression.

Why this matters disproportionately for lead generators

Lead generation landing pages and operator-facing sales sites historically used review-style content to drive conversion. Three patterns are now exposed under the rule:

- Stock-photo-and-quote testimonial blocks where the testimonials were never given by real people are prohibited as fake reviews.
- "AI-written" reviews — common in some legal and home-services landing-page templates of the early 2020s — are explicitly in scope.
- Operator sites that displayed review counts or social-media indicators sourced from third-party services without verification are now at risk if the underlying engagement was inflated.

What operators say works: *the practical operator response since October 2024 has been to audit all landing pages and marketing pages, remove any testimonial content that cannot be substantiated with a real reviewer's identity and disclosure, and document the substantiation chain for any remaining endorsement content. The operators who did this work pre-rule have escaped the early enforcement wave; those who didn't are catching up under FTC and state-AG attention.*

Civil-penalty math

Civil penalties run up to approximately $51,744 per violation (the rate is inflation-adjusted annually under 16 C.F.R. § 1.98). For an operator with a hundred landing pages each using a fake testimonial, the theoretical exposure is multi-million-dollar without reaching scale issues. Actual enforcement is at FTC discretion and depends on whether the conduct is willful or unwitting, but the headline math is what the agency uses to underwrite enforcement priorities.

On-camera summary

The FTC's Reviews and Testimonials Rule (effective October 21, 2024) prohibits seven specific practices and carries civil-penalty exposure of approximately $51,744 per violation. Fake reviews — including AI-generated — are explicitly in scope. Lead generation landing pages, operator-facing sales pages, and any advertiser-side content within an operator's control are all subject to the rule. Audit, remove, document — the operator playbook is clear.

Primary sources

- 16 C.F.R. Part 465 — Trade Regulation Rule on the Use of Consumer Reviews and Testimonials.
- FTC press release, August 14, 2024 — "FTC Announces Final Rule Banning Fake Reviews and Testimonials."
- 16 C.F.R. § 1.98 — civil-penalty inflation adjustments (annual).

Lesson 3.8 — Telemarketing Sales Rule (TSR)

Learning objective

Identify the major TSR provisions — DNC, abandoned-call limit, caller-ID requirements, record-keeping — and recognize the TSR-specific debt-relief amendments that govern advance-fee practices in financial services lead generation.

Citation	16 C.F.R. Part 310 — Telemarketing Sales Rule
Statute	Telemarketing and Consumer Fraud and Abuse Prevention Act, 15 U.S.C. § 6101 et seq.
Agency	Federal Trade Commission (FTC)
Penalty	Civil penalties up to ~$51,744 per violation; FTC and state AG enforcement.

Major operational provisions

- DNC. The TSR is the source of the FTC-side DNC obligations described in Lesson 3.5 (the TCPA covers the FCC side).
- Abandoned-call limit. Predictive-dialer-driven abandoned calls are limited to a small percentage of campaign call volume (currently 3% over a 30-day per-calling-campaign basis under the TSR safe harbor).
- Caller-ID transmission. Telemarketers must transmit caller-ID information that accurately identifies the seller or the telemarketer.
- Record-keeping. Five-year retention of specific records: advertisements and promotional materials, names and last-known addresses of employees directly involved in telephone sales, prize-recipient records, customer-purchase records, and verifiable authorizations for transactions.
- Express verifiable authorization. Required for certain payment methods (electronic checks, demand drafts) before charging the consumer.

TSR debt-relief amendments

What regulations require: the TSR's debt-relief amendments (adopted 2010) specifically prohibit charging advance fees for telemarketed debt-relief services. Compensation can only be collected after the debt-relief provider has actually performed the service for which it is being paid (e.g., negotiated and settled at least one debt). This rule is the single most operationally consequential federal restriction on debt-relief lead generation; it shapes how generators and downstream debt-settlement firms structure both their funnels and their compensation arrangements.

On-camera summary

The TSR is the FTC-side companion to the TCPA's FCC framework. Key operational provisions: DNC scrubbing, abandoned-call limit, caller-ID transmission, five-year record retention. The debt-relief amendments prohibit advance fees for telemarketed debt-relief services — a provision that materially shapes debt-relief lead generation.

Primary sources

- 16 C.F.R. Part 310 (full TSR).
- 16 C.F.R. § 310.4 (specific prohibited practices, including the debt-relief amendments).
- 15 U.S.C. § 6101 et seq. (underlying statute).

Lesson 3.9 — CAN-SPAM

Learning objective

Name the five core CAN-SPAM requirements, contrast CAN-SPAM with the more restrictive TCPA, and identify what CAN-SPAM does not require (despite common misconceptions).

Statute	Controlling the Assault of Non-Solicited Pornography and Marketing Act of 2003, 15 U.S.C. § 7701 et seq.
Agency	Federal Trade Commission (FTC)
Scope	Commercial email messages.
Penalty	Up to ~$51,744 per email violation; FTC and state AG enforcement; preempts most state anti-spam laws.

The five core requirements

21. Accurate header information. The "from" and "reply-to" fields must accurately identify the person or business that initiated the message.
22. Non-deceptive subject lines. Subject lines cannot deceive the recipient about the message's content.
23. Identification as advertisement. Messages must be clearly identified as commercial. This can be implicit if the content makes the commercial nature obvious; otherwise, an explicit "this is an advertisement" identification is required.
24. Physical postal address. Every commercial email must include a valid physical postal address of the sender.
25. Clear opt-out mechanism. A clear and conspicuous explanation of how the recipient can opt out, and a working opt-out mechanism that processes the request within 10 business days. Opt-outs must be honored for at least 30 days after the message was sent.

What CAN-SPAM does not require

- Prior express written consent. CAN-SPAM does not require opt-in consent for the first commercial email. (Many sophisticated senders nevertheless run consent-based programs because deliverability — not legal compliance — depends on engagement-based reputation.)
- Continuous-list scrubbing against a national email DNC list. There is no federal email DNC equivalent to the phone DNC Registry.

These differences from the TCPA are the source of much operator confusion. Email is a less-restrictive regime than telephony at the federal level; state laws and platform-level deliverability rules are often stricter than CAN-SPAM itself.

On-camera summary

CAN-SPAM has five core requirements: accurate headers, non-deceptive subjects, advertisement identification, physical postal address, and a working opt-out. It does not require opt-in consent for the first email, and there is no email DNC Registry. The TCPA's framework is meaningfully stricter than CAN-SPAM; do not conflate them.

Primary sources

- CAN-SPAM Act of 2003, 15 U.S.C. § 7701–7713.
- FTC CAN-SPAM Rule and Compliance Guide for Business (current edition).

Lesson 3.10 — FCRA touchpoints

Learning objective

Recognize when lead generation crosses into FCRA territory (consumer reports for credit, employment, insurance, housing) and identify why background-check and tenant-screening lead generation is a specialized regulatory category.

Statute	Fair Credit Reporting Act, 15 U.S.C. § 1681 et seq.
Agencies	CFPB (primary), FTC, state AGs
Scope	Consumer reports used for credit, employment, insurance, housing, and other permissible purposes.
Damages	Statutory and actual damages; willful violations carry punitive exposure.

When the FCRA touches lead generation

Most general consumer lead generation does not implicate the FCRA. The statute is triggered when a lead-generation operation produces or uses a "consumer report" — defined broadly to include any communication of information bearing on a consumer's creditworthiness, character, general reputation, mode of living, used or expected to be used for an FCRA-permissible purpose (credit, employment, insurance, housing, etc.).

Two patterns are commonly in scope:

- Background-check and tenant-screening lead generation. The downstream service — and often the upstream marketing — is FCRA-regulated. Any landing page that promises to "find someone's history" or similar must navigate FCRA disclosure, dispute, and permissible-purpose rules.
- Pre-screened lead generation in credit and insurance. Lead lists generated using consumer-report data (e.g., "homeowners with credit scores above 700") trigger FCRA pre-screen rules — including consumer opt-out rights and specific disclosure obligations.

Why this matters even when it doesn't apply

What operators say works: *even operators in non-FCRA verticals routinely receive supply offers ("hot lead lists, pre-screened") that are FCRA-regulated whether the seller acknowledges it or not. Buying lead data sourced from consumer reports without an FCRA-permissible purpose is exposure that follows the buyer. The diligence step is simple: ask the supplier where the data came from; if the answer is anything related to consumer reports, walk away unless you have FCRA counsel.*

On-camera summary

Most consumer lead generation does not engage the FCRA. It does engage when lead-gen produces or uses consumer-report data — typical in background-check, tenant-screening, and pre-screened credit and insurance contexts. Buying lead data from suppliers who source from consumer reports is exposure that follows the buyer; the diligence step is to ask before you buy.

Primary sources

- Fair Credit Reporting Act, 15 U.S.C. § 1681 et seq.
- CFPB FCRA supervisory materials and Bulletin 2022-09 (on consumer-report data accuracy).
- FTC FCRA Compliance materials.

Lesson 3.11 — State privacy laws

> **Learning objective**
> Identify the major state comprehensive privacy laws as of 2026, articulate why "sale of personal information" rules affect lead resale specifically, and operationalize a state-by-state baseline privacy posture for a lead-generation operation.

The state law landscape, as of 2026

There is no federal comprehensive consumer privacy law. State law fills the gap. As of May 2026, 19+ U.S. states have enacted comprehensive privacy laws covering consumer data. The leading ones operators most often discuss:

- California — CCPA / CPRA (Cal. Civ. Code § 1798.100 et seq.). The first and the most stringent. Operative since 2020, expanded by CPRA effective 2023.
- Virginia — Virginia Consumer Data Protection Act (VCDPA), effective 2023.
- Colorado — Colorado Privacy Act (CPA), effective 2023.
- Connecticut — Connecticut Data Privacy Act (CTDPA), effective 2023.
- Utah — Utah Consumer Privacy Act (UCPA), effective 2023.
- Texas — Texas Data Privacy and Security Act (TDPSA), effective 2024.
- Plus roughly a dozen additional states with comprehensive laws effective 2024–2026 — Florida, Oregon, Montana, Iowa, Indiana, Tennessee, Delaware, New Jersey, Maryland, Minnesota, Nebraska, New Hampshire, Kentucky, Rhode Island.

Common features across states

Most state comprehensive privacy laws share a common feature set (with implementation differences):

- Notice at or before collection of personal information.
- Consumer rights: access to data held about them, deletion, correction, and (in most states) opt-out of "sale" or "targeted advertising."
- Honoring Global Privacy Control (GPC) signals from web browsers as opt-out requests, where applicable.
- Data-broker registration requirements (California, Texas, Vermont, Oregon — each different).
- Reasonable security requirements and breach-notification obligations.

"Sale of personal information" — the core issue for lead resale

What regulations require: most state privacy laws define "sale" of personal information broadly enough to include the transfer of lead data from a generator to a network or buyer in exchange for monetary or

other valuable consideration. The CCPA, for example, defines "sale" as the disclosure of personal information "for monetary or other valuable consideration." Lead generators that meet the state's applicability thresholds must (a) disclose this in their privacy notice, (b) honor consumer opt-out-of-sale requests, (c) honor GPC signals where applicable, and (d) include contractual restrictions on downstream recipients' use of the data.

For a multi-state lead generation operation, the practical implication is that the privacy notice and operational posture have to satisfy the most stringent state in which the operator does business — typically California — because building separate notices for each state is operationally impractical for most operators.

State data-broker registration

Four states currently require data broker registration: California, Texas, Vermont, Oregon. A "data broker" under these regimes is generally defined as a business that knowingly collects and sells the personal information of consumers with whom the business does not have a direct relationship. Many lead generators meet this definition with respect to the downstream parties to whom they sell leads.

Registration obligations include disclosing the business, paying an annual fee, and (in some states) submitting metrics about the volume of consumer data collected and sold. Failure to register is per-day civil penalty exposure in each state.

On-camera summary

State privacy law is the fastest-moving piece of the regulatory landscape. As of May 2026, 19+ states have comprehensive privacy laws; California is the most stringent and operationally controlling. Lead generation is generally a "sale of personal information" under most state laws, which triggers notice, opt-out, and contractual-downstream-use obligations. Data broker registration applies in California, Texas, Vermont, and Oregon. Build to the California standard unless you have a specific reason not to.

Primary sources

- California Civ. Code § 1798.100 et seq. (CCPA/CPRA).
- Virginia Code § 59.1-575 et seq. (VCDPA).
- Colo. Rev. Stat. § 6-1-1301 et seq. (CPA).
- State AG and California Privacy Protection Agency rulemaking and enforcement notices.
- IAPP State Comprehensive Privacy Law Tracker (operator-facing reference).

Lesson 3.12 — Vertical-specific regulation

> **Learning objective**
> Map vertical-specific rules onto the verticals covered in Module 2: ABA Model Rules for legal, NMLS and RESPA Section 8 for mortgage, state insurance licensing, HIPAA and EKRA for healthcare, and state private-investigator licensing for investigative services.

Legal — ABA Model Rules

Rules	ABA Model Rules of Professional Conduct, especially 5.4, 7.2, 7.3
Adopted by	State bars (with state-specific variations)
Reach	Any lead generation directed at attorney clients

Rule 5.4 prohibits fee-sharing with non-lawyers (narrow exceptions; D.C. and Arizona have relaxed). Rule 7.2 permits payments for advertising and lead generation if the payments are reasonable and the lead generator is not making impermissible recommendations or implying endorsement. Rule 7.3 governs solicitation. The intersection of these rules is the reason per-lead flat fees survive in most states while revenue share generally does not. Several states (New York, New Jersey, Texas, Massachusetts) have stricter state-level rules than the Model Rules; check the bar of every state in which the attorney clients are licensed.

Mortgage — NMLS and RESPA Section 8

Licensing	Nationwide Multistate Licensing System (NMLS), administered by CSBS and state mortgage regulators
Statute	Real Estate Settlement Procedures Act of 1974 (RESPA), 12 U.S.C. § 2601 et seq.
Key rule	RESPA Section 8 — anti-kickback / unearned-fee prohibition
Guidance	CFPB Bulletin 2015-05 — "RESPA Compliance and Marketing Services Agreements"

Mortgage lead generation often requires NMLS licensing for the lead provider, depending on the activity and the state. RESPA Section 8 prohibits kickbacks and unearned fees on federally related mortgage loans. The CFPB has stated in supervisory guidance that pay-per-lead structures are not categorically prohibited but must reflect the reasonable value of services actually rendered. Percentage-of-loan-amount or contingent-on-funding compensation is much harder to defend under Section 8 than per-lead flat fees structured as marketing payments.

Insurance — state licensing

Licensing	State-by-state — every state's department of insurance
Statutes	State insurance codes; NAIC Producer Licensing Model Act as a template
Key rule	Anti-rebating laws restrict compensation to non-licensed marketers

Selling, soliciting, or negotiating insurance generally requires a state-issued producer (agent) license. Lead generation activities that cross into solicitation typically require the operator (or the operator's agents) to be licensed in the state of the consumer. Anti-rebating laws restrict compensation to non-licensed entities — meaning revenue-share-style compensation to an unlicensed marketer is generally prohibited. Medicare and ACA marketing carry additional CMS-imposed rules (scope-of-appointment requirements, recording obligations, prohibited representations about plans or benefits).

Healthcare — HIPAA

Regulation	HIPAA Privacy Rule, 45 C.F.R. Parts 160 and 164
Key sections	§ 164.501 (definitions), § 164.508 (authorization for uses including marketing)
Agency	HHS Office for Civil Rights (OCR)

Covered entities (most healthcare providers, health plans, and clearinghouses) and their business associates must obtain HIPAA-compliant authorization for most uses of protected health information (PHI) for marketing purposes. Lead generation that captures PHI (e.g., condition, treatment history, diagnosis) for routing to a provider must structure consent and data handling to fit HIPAA's authorization framework. Most healthcare lead generation operates outside this constraint by capturing minimal clinical detail before handing the consumer off to the practice.

Addiction treatment — EKRA

Statute	Eliminating Kickbacks in Recovery Act, 18 U.S.C. § 220
Enacted	October 24, 2018 (as part of the SUPPORT for Patients and Communities Act)
Reach	Recovery homes, clinical treatment facilities, and laboratories — across payor types

What regulations require: EKRA prohibits offering or receiving remuneration in return for referrals of patients to recovery homes, clinical treatment facilities, and laboratories. Unlike the older Anti-Kickback Statute (which is limited to federal healthcare program patients), EKRA applies across payor types, including cash-pay. Department of Justice enforcement has interpreted EKRA broadly to reach percentage-based marketer compensation and per-acquired-patient compensation. Per-lead flat fees

structured as advertising payments survive under most readings; performance-based or volume-based compensation does not.

Investigative services — state PI licensing

Private investigation is regulated by state-level licensing in virtually every state. Lead generation directed at investigative services (background checks, surveillance, asset searches) must navigate both the FCRA (Lesson 3.10) and state-level PI licensing rules. Some states require lead providers themselves to be licensed if their activity crosses into investigative work; others regulate only the downstream investigator.

On-camera summary

Vertical-specific regulation is where general lead-generation expertise stops paying off and vertical specialization starts. Legal is governed by state bar rules adopting the ABA Model Rules. Mortgage is NMLS plus RESPA Section 8. Insurance is state licensing plus anti-rebating laws. Healthcare is HIPAA marketing rules plus, in addiction treatment, EKRA. Investigative services adds state PI licensing on top of the FCRA. Map your vertical onto its specific regulatory layer before you build.

Primary sources

- ABA Model Rules of Professional Conduct, current edition.
- Real Estate Settlement Procedures Act, 12 U.S.C. § 2601 et seq.; CFPB Bulletin 2015-05.
- State insurance codes; NAIC Producer Licensing Model Act.
- HIPAA Privacy Rule, 45 C.F.R. Parts 160 and 164 (especially §§ 164.501, 164.508).
- Eliminating Kickbacks in Recovery Act, 18 U.S.C. § 220.
- State-level private-investigator licensing statutes (vary).

Lesson 3.13 — Putting it together: the compliance checklist

> **Learning objective**
> Work through a multi-page compliance checklist that translates Lessons 3.1–3.12 into a sequence of concrete operational steps and document artifacts a new operator can produce before launch.

How the checklist works

The Module 3 Compliance Checklist (delivered as a separate PDF) is organized in six sections:

26. Telephony and texting (TCPA, DNC, TSR).
27. Advertising content (FTC Endorsement Guides, Reviews & Testimonials Rule, Section 5 substantiation).
28. Email (CAN-SPAM).
29. Privacy (state laws, data-broker registration, FCRA touchpoints).
30. Vertical-specific (the regime applicable to your chosen vertical from Module 2).
31. Documentation and operations (consent-record retention, audit trails, vendor diligence).

Each section contains 5–15 items. Each item names the regulation it satisfies, gives a sample artifact you should be able to produce, and includes a primary-source citation. Work through the checklist sequentially before launch; revisit quarterly; update with each regulatory revision the course publishes.

Three principles that the checklist enforces

32. Every regulatory claim has an artifact. "We comply with PEWC" is not a claim; "here is our form's consent disclosure, here is the TrustedForm certificate URL for lead X, here is our retention policy" is.
33. Every artifact has a primary source citation. The checklist lists 47 C.F.R. § 64.1200(f)(9) next to the PEWC item; 16 C.F.R. Part 465 next to the fake-reviews item; etc. The reason: when a regulatory question arises six months in, the citation lets you re-check the underlying rule rather than your recollection of it.
34. Every quarter, the checklist gets updated. Regulations change; the checklist's version line at the top of each section tracks when the section was last re-verified.

What the checklist does not do

It does not give you legal advice for your specific operation. It does not address jurisdiction-specific issues that depend on your state of incorporation or the states in which your consumers reside. It does not substitute for counsel familiar with your vertical and your stack. Treat it as the systematic floor below which no operation should run.

Standing disclosures

This module is a research-based primer, not legal advice. Regulations cited are current as of May 2026 and will be re-researched on a quarterly cadence. Every regulatory claim links to a primary source at lesson end; verify before relying. No income claims are made or implied. The course author is a curriculum builder, not a multi-million-dollar lead-gen operator.

Module 3 wrap-up and what's next

You've now covered the federal and state regulatory landscape that touches lead brokering — TCPA, the FCC's one-to-one and revocation rules, TCPA enforcement and damages, the DNC Registry, FTC Endorsement Guides, FTC Reviews and Testimonials Rule, TSR, CAN-SPAM, FCRA, state privacy laws, and vertical-specific rules across legal, mortgage, insurance, healthcare, addiction treatment, and investigative services.

The three deliverables operationalize the lessons: the compliance checklist (work through it before launch), the regulatory citation reference sheet (quick lookup), and the acronym glossary (keep on hand).

What Module 4 covers

Module 4 turns to the buyer side: who actually buys leads, how lead purchase agreements are structured, how lead delivery actually works in practice, and how to have an honest conversation with a buyer when you have no track record. After three modules of foundation (Modules 1–3), Module 4 starts the operationally specific work.